

The wealth playbook your parents never had.

Each generation doesn't need to start from zero. This is the guide we wish someone had handed us — straightforward, jargon-free, and built for first-generation wealth builders.

Inside this guide: The 5 wealth-building principles, how compound interest actually works, where to put your first £10, the mindset shifts that separate wealth-builders from wage-earners, how to set your first goal, and a glossary of every term you need to know.

A note before **we begin.**

If you're reading this, you're probably starting from somewhere your parents couldn't have imagined — and that's both the gift and the burden.

For most first-generation wealth builders, money was something you earned, paid bills with, and hopefully had a little left over. Investing was for "other people." Pensions were what work signed you up to without explaining. Compound interest was a phrase from a maths lesson nobody connected to real life.

That isn't a personal failing. It's a structural one. The wealth gap in the UK isn't accidental — it's the result of generations of access being unevenly distributed. White British households hold an average of **£314,000** in wealth. Black British households hold around **£34,000**. That's a 90% gap, and it doesn't close on its own.

But it can close. Slowly. Deliberately. With knowledge, a plan, and time.

Each generation doesn't need to start from zero. The cycle ends when someone learns the playbook and writes a new one.

This guide is the first chapter of that playbook. It won't make you rich overnight. Anyone selling that is selling you something else. What it will do is give you the foundation — the principles, the language, the mindset, and the first practical steps — so the next ten years of your financial life look fundamentally different from the last ten.

Read it once end-to-end. Come back to it whenever you need a reset. Share it with anyone in your circle who needs to hear it.

Let's begin.

5 PRINCIPLES

The 5 wealth-building principles your parents probably weren't taught.

01. Wealth is built, not earned.

This is the single most important sentence in this guide. Wealth is not your salary. Wealth is not your bonus. Wealth is not what's in your current account at the end of the month.

Wealth is what your money does **while you sleep**. It's the value of assets you own — investments, property, businesses, pensions — that grow whether you're working or not.

Most people spend their entire lives focused on the income side: getting paid more. The wealthy focus on the asset side: owning more. You can be on a £30,000 salary and build wealth. You can be on a £130,000 salary and build none. The difference is what you do with what comes in.

02. Time beats timing.

You will hear people say "I'm waiting for the right moment to invest." There is no right moment. There is only **now**, and "earlier than now."

Someone who invests £100/month from age 22 will, by age 65, have substantially more than someone who invests £200/month from age 35 — even though the second person put in more money. Time, not timing, is the variable that matters.

The takeaway: Starting small early beats starting big later. Every single time. The next page shows you why.

03. Pay yourself first.

Most people budget like this: income arrives → expenses are paid → whatever's left gets saved. The problem? After expenses, there's almost never anything left.

Wealth builders flip it: income arrives → savings/investments come out first (automatically) → expenses are paid with what remains. Even £10/week on payday makes a difference, because it changes the structure of how you relate to money.

04. Diversify or die (financially).

Putting all your money into one stock, one crypto coin, or one property is gambling. Putting your money across many investments — different types, different sectors, different countries — is investing.

The wealthy don't have one big bet. They have many small bets, spread thoughtfully, so that no single failure can wipe them out. This is called **diversification**, and it's the closest thing to a free lunch in finance.

05. Your network is your net worth.

You will absorb the financial habits of the five people you spend the most time with. If they spend everything they earn, you probably will too. If they invest, talk about money openly, share opportunities — you will.

Wealth-building isn't just about spreadsheets. It's about who you sit next to. Who you ask questions of. Who you celebrate progress with. This is why community matters more than most people think — and why STAKT was built around it from day one.

Quick recap of the 5 principles:

- **Wealth is built, not earned.** Focus on assets, not just income.
- **Time beats timing.** Start now, even if it's small.
- **Pay yourself first.** Save before you spend.
- **Diversify or die.** Spread your bets thoughtfully.
- **Your network is your net worth.** Surround yourself with builders.

Memorise these. Print them out. Stick them somewhere you'll see them. Every financial decision you make from today should pass through at least one of these filters.

Reflection prompt: Which of these 5 principles are you already living? Which one would change your financial life the most if you took it seriously starting tomorrow?

COMPOUNDING

How compound interest **actually** works.

If wealth-building has a secret, this is it. Compound interest is interest earning interest on interest. It's slow at first. Then it's astonishing.

Imagine you invest £100. It earns 7% in a year. You now have £107. Next year, you earn 7% on £107 — not just on the original £100. So you make £7.49, not £7. That extra 49p doesn't sound like much. But over decades, those extra fractions compound into something extraordinary.

A real example: £100 invested at age 22.

£100

Initial investment, age
22

7%

Average annual return

**43
years**

Until retirement at 65

£1,872

What that £100
becomes

That's a single £100. Now imagine you invest £100 **every month** from age 22 to 65, at the same 7% return. You'd have invested £51,600 of your own money. But your account would hold around **£289,000**.

The difference — £237,000 — is compound interest. That's the gap. That's the engine. That's what your parents probably weren't taught.

Compound interest is the eighth wonder of the world. He who understands it, earns it. He who doesn't, pays it.

— OFTEN ATTRIBUTED TO ALBERT EINSTEIN

The same principle works in reverse.

Credit cards charge 20–30% interest. That interest compounds against you the same way investments compound for you. £1,000 of credit card debt left unpaid for 5 years can balloon to £3,000+. The wealthy use compounding as a tool. The unwealthy are used by it.

CASE STUDY

Two graduates. **43 years apart.**

Both start at 22. Same job. Same £28,000 salary. Same employer pension match. The only difference: one stays consistent, the other doesn't.

Graduate A works full-time for 5 years, then leaves to start a business. The business fails. He's unemployed for a stretch, then freelances inconsistently. He stops contributing to his pension at 27 and never restarts. Life keeps happening — and his money never recovers.

Graduate B stays in full-time employment. Gets raises. Keeps contributing 5% of his salary to his pension every month. His employer matches 3%. He doesn't do anything special. He just stays consistent.

By age 65, here's where they each end up:

GRADUATE A**£29,500**

Pension frozen at 27. Minimal savings. Still working at 65 because retirement isn't possible.

GRADUATE B**£1,670,000**

Pension, savings, property, and investments. Retires comfortably. Children inherit a foundation.

The gap is **£1.64 million**. Same starting point. Same salary. Same opportunities. The only difference was consistency over 43 years.

The lesson isn't about judgment. Life happens to all of us. Businesses fail. People get laid off. Health crises hit. The lesson is that the cost of **stopping** is enormous — and the value of finding any way to keep contributing, even small amounts, is just as enormous in the other direction.

This is why STAKT exists. Not to judge people whose paths look like Graduate A's, but to make sure life disruptions don't permanently break wealth trajectories. With reminders, community accountability, and entry points as low as £10, the goal is simple: keep you in the game.

FIRST £10

Where to put it.

If you have £10 to put somewhere — and you should — here are your real options, ranked by what makes sense for most first-time builders.

Option 1: An emergency fund (savings account)

Before you invest a single pound, you need a small cushion — ideally 1–3 months of expenses sitting in an easy-access savings account. This isn't sexy. It's not going to make you rich. But it stops you from going into credit card debt the next time something breaks, which is the fastest way to lose ground.

Where: Any high-interest easy-access savings account (currently 4–5% in the UK). Marcus, Chase, Chip are all popular. **Risk:** Almost none. **Returns:** Modest. **Purpose:** Defensive.

Option 2: Your workplace pension

If you're employed and your employer offers pension matching, this is mathematically the best return on £10 you will ever get. If you put in £10 and your employer matches 3%, you've already made instant gains — before any market returns kick in.

Where: Your existing workplace pension. Just increase your contribution. **Risk:** Low (long time horizon). **Returns:** 5–8% historically + employer match + tax relief. **Purpose:** Retirement wealth.

If you ignore everything else in this guide and just max your employer pension match — you've already won 80% of the game. Most people leave free money on the table because they don't understand this.

Option 3: A Stocks & Shares ISA

You can put up to £20,000 per year into an ISA, and any growth is tax-free for life. This is the best wrapper most people will ever access. Inside the ISA, you can buy investments like index funds — which are diversified bundles of stocks that historically return 7–10% per year on average.

Where: Vanguard, Trading 212, AJ Bell, Hargreaves Lansdown. **Risk:** Medium (short-term volatility, long-term growth). **Returns:** 7–10% historical average. **Purpose:** Long-term wealth building.

Option 4: Crypto (carefully)

Crypto can play a role, but only after you've covered the basics above. Bitcoin and Ethereum have produced extraordinary returns over the last 15 years — but also extraordinary losses along the way. The honest rule: never invest more in crypto than you can afford to lose entirely.

Where: Coinbase, Kraken, or regulated exchanges only. **Risk:** High. **Returns:** Highly variable. **Purpose:** A small allocation (5–10% of your portfolio max) for asymmetric upside.

Option 5: Alternative investments (later)

Property, peer-to-peer lending, REITs (real estate investment trusts), private businesses — all valid, all worth understanding. But not on your first £10. Build the foundation first. These come later.

A realistic starting order:

- **Step 1:** Build a £500–£1,000 emergency fund in a high-interest savings account.
- **Step 2:** Max out any employer pension match — this is free money.
- **Step 3:** Open a Stocks & Shares ISA. Start with as little as £10/month into a global index fund.
- **Step 4:** Once those are humming, consider a small crypto allocation (5–10% max).
- **Step 5:** When you have meaningful capital, explore property and alternatives.

Most people skip Step 1, ignore Step 2, get distracted by Step 4, and never get to Step 3. Don't be most people.

The 50/30/20 rule (for context): 50% of your income for needs, 30% for wants, 20% for saving and investing. This is a starting framework, not a religion. Adjust to your situation. The point is: **have a structure.**

MINDSET

Wealth-builder vs. wage-earner.

The biggest gap between people who build wealth and people who don't isn't income. It's mindset. Here are the four shifts that matter most.

Shift 1: From "How much do I earn?" to "How much do I keep?"

Wage-earners measure success by their salary. Wealth-builders measure success by what's left after they save and invest. Two people on £40,000 can be in completely different financial universes a decade later, depending on which question they're asking.

Shift 2: From "I can't afford it" to "How can I afford it?"

The first phrase shuts the brain down. The second phrase opens it up. The wealthy don't pretend money is unlimited — they ask better questions. Want to invest more? Ask what's possible. Want to start a business? Ask what's possible. The framing alone changes outcomes.

Shift 3: From short-term comfort to long-term freedom

Every spending decision is a vote for the life you're building. £5 a day on takeaway coffee is fine — but it's also £1,825 a year. Invested over 40 years at 7%, that's around £390,000. Not saying don't have coffee. Saying **know what you're trading**.

Shift 4: From shame to strategy

Many first-generation builders carry shame about money — about not knowing things, about past mistakes, about families who couldn't pass down knowledge. That shame is one of the biggest obstacles to building wealth. It makes you avoid looking at your finances, which is the exact opposite of what's needed.

The opposite of shame is strategy. Strategy says: I don't know everything. I'm learning. I'm building. I'll get better. The financial position you're in today is information, not identity.

*Your past financial decisions don't define your financial future.
Your next decision does.*

GOAL SETTING

How to set your first wealth goal — and actually hit it.

"Build wealth" isn't a goal. It's a wish. Real goals have numbers, dates, and a path. Here's the structure.

Step 1: Pick something specific

Examples of real goals:

- Build a £1,000 emergency fund by December.
- Invest £5,000 in a Stocks & Shares ISA over the next 12 months.
- Save £20,000 for a property deposit by my 30th birthday.
- Reach a £10,000 pension balance by the end of next year.

Notice: each one has an amount, a destination, and a deadline. That's the formula.

Step 2: Reverse-engineer the monthly number

If you want £1,000 saved in 12 months, that's roughly £83/month, or £20/week, or about £3/day. Suddenly the abstract becomes concrete. £3/day is one less takeaway coffee. Now the goal is doable.

Step 3: Automate it

The biggest reason goals fail isn't lack of money — it's friction. Set up a standing order on payday that moves your saving/investing amount before you can think about it. The wealthy don't rely on willpower. They rely on systems.

Step 4: Track it visually

You will give up on goals you can't see. Whether it's a wall chart, a spreadsheet, or an app like STAKT — make the progress visual. Watching the bar fill up is a surprisingly powerful motivator.

Step 5: Celebrate milestones

£250 saved? Celebrate. £1,000? Celebrate harder. Wealth-building takes years — sometimes decades. If you don't reward yourself along the way, you'll burn out. Make it joyful, not punishing.

One goal at a time. Trying to do everything at once is the fastest way to do nothing. Pick the one goal that would change your life most if you hit it, and focus there for the next 90 days.

GLOSSARY

The words you'll need.

A jargon-free glossary. If a term shows up anywhere in finance and you're not sure what it means, start here.

ISA (Individual Savings Account)

A tax-free wrapper. You can put up to £20,000 per year into one, and any growth or interest is tax-free for life. Two main types: Cash ISA (savings) and Stocks & Shares ISA (investments).

Pension

A long-term investment account specifically for retirement. The government adds tax relief, and many employers add matching contributions. You usually can't access it until age 55+.

Index Fund

A bundle of investments that tracks a whole market (like the FTSE 100 or the S&P 500). Instead of buying one stock, you buy a slice of hundreds at once. Cheap, diversified, and historically the best long-term option for most people.

ETF (Exchange-Traded Fund)

Similar to an index fund, but traded like a stock during market hours. Most modern investing platforms use ETFs for simple long-term portfolios.

Compound Interest

When your interest earns interest. The interest you earned last year is added to your balance, and you earn interest on that too. Over decades, this snowball effect is what builds real wealth.

Diversification

Spreading your investments across different types, sectors, and regions so a single failure doesn't wipe you out. The investing version of "don't put all your eggs in one basket."

Volatility

How much an investment's price moves up and down. High volatility = bigger swings (e.g., crypto). Low volatility = smaller swings (e.g., government bonds). Volatility $\neq$ risk, but they're related.

Asset

Anything that has value and can produce income or grow over time — investments, property, a business, intellectual property. Wealth = what your assets are worth, minus what you owe.

Liability

Anything you owe — credit card debt, loans, mortgages, unpaid taxes. Your net worth is your assets minus your liabilities.

Net Worth

The single most useful number in personal finance. Add up everything you own (assets), subtract everything you owe (liabilities), and that's your net worth. Track it monthly.

AUM (Assets Under Management)

The total amount of money an investment platform or fund manages on behalf of its customers. Often used as a measure of a company's scale.

APR (Annual Percentage Rate)

The yearly cost of borrowing money, expressed as a percentage. Includes interest plus fees. The lower the APR, the cheaper the debt. Credit cards typically have APRs of 20–30%.

Inflation

The rate at which prices go up over time. If inflation is 3%, then £100 today buys what £97 bought a year ago. Money sitting in a current account is being eaten by inflation. Investing aims to outpace it.

FCA (Financial Conduct Authority)

The UK regulator that oversees financial services. Any legitimate UK investing platform should be FCA-authorized. Always check before handing over money.

Open Banking

A UK initiative that lets banks securely share your data with other financial apps (with your permission). It's how apps like STAKT will eventually connect to your existing bank to give you a single view of your finances.

EMI (Electronic Money Institution)

A type of FCA licence that lets a company hold customer funds and issue cards without being a full bank. Many fintechs (including STAKT in Year 3) start here before pursuing a full banking licence.

What to do **this week.**

Information without action is just noise. Here's what to do in the next 7 days to actually start.

Day 1 — Audit (30 minutes)

Open every financial account you have. Write down the balances. Calculate your net worth (assets minus liabilities). Don't judge it. Just see it. This is your starting line.

Day 2 — Pension check (15 minutes)

Find out exactly what your employer pension match is. If you're not maxing it, you're leaving free money on the table. Increase your contribution to the match level if you possibly can.

Day 3 — Pick one goal (20 minutes)

Use the goal-setting framework on page 10. Pick one goal. Write it down with an amount and a deadline. Reverse-engineer the monthly number.

Day 4 — Open the account (30 minutes)

If you don't already have a Stocks & Shares ISA or a high-interest savings account that matches your goal, open one this week. Don't research forever — pick a reputable provider and start. You can always change later.

Day 5 — Automate (10 minutes)

Set up a standing order on payday. Even if it's £10/month. The amount matters less than the habit. Automate first, optimise later.

Day 6 — Tell someone

Share your goal with one trusted person. Accountability triples your odds. (Bonus points: ask if they want to join you. The 5th principle was about your network for a reason.)

Day 7 — Reflect

Look at what you did. Be proud of it. Building wealth doesn't start with a windfall — it starts with a week like this one.



Each generation doesn't need to start from **zero.**

You now have what your parents couldn't give you: the playbook. The principles. The vocabulary. The first steps. Use them.

What's next?

STAKT is launching in 2026 — a UK challenger banking and investing app built specifically for first-generation wealth builders. Banking, investing, education, and community in one place. Entry points from £10. Designed by people who started from zero too.

If you're on the waitlist, you'll hear from us first. If you're not, join at stakt.money.

STACK WEALTH. BUILD LEGACY.

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